

CHAPTER III

PRODUCTION PLAN AND OPERATION SYSTEM

A. Technical Production Description

The company will manufacture raw materials bringing into a new product which is Atsarang Lukban made of pomelo pulp. The ingredients that will need are pomelo, which is the main ingredient, red bell pepper, green bell pepper, garlic, ginger, carrot, ground black pepper, sugar, and vinegar. The used items are nutritious and fresh purchased by the owners.

Prepare all the ingredients, tools, and equipment such as cutting tools, measuring tools, bowl, clean cloth, stove, pan, and gloves. After preparing the needed materials, the preparation of the product would be started. Peeling, Slicing, Squeezing, and Cooking needed for the production.

The finished product, which is Atsarang Lukban, packaged in small and medium size of transparent plastic jars. The product will remain affordable. It gives a simple appearance but the taste will be outstanding. The transparent jar is used to see the colorful and beautiful sliced ingredients of the products and easy for the customers to foresee what is inside the product. Just one look and feel appetized when the customer tastes it first. That is why the company used the tagline "First you try then, you love". The company aims to offer affordable products and one of the reasons why the product is affordable is because the transparent jar is also cheap. The company ensures the safety of the product and the customers will be in a good hand too. The jar is a reusable item because it can use as a container of condiments in the kitchen. The company ensures that the product is not cheap

and simply beautiful but also healthy and has a lot of benefits such like rich in antioxidants, high in fiber, improving digestion, and rich in vitamin C and potassium. Atcharang Lukban goes great with any fatty meats grilled or fried.

B. Production Process

1. Step-by-Step Procedure

The procedure of manufacturing the product Atsarang Lukban. First, wash all the ingredients, peel the pomelo, separate the flesh from the saran wrap jacket left, and set aside it. Second, proceed to peel the carrots, ginger, and garlic. Remove the seeds of red bell pepper and green bell pepper. Slice the ginger, garlic, red bell pepper, and green bell pepper in a slant slice while the carrots slice in a flower shape. Then, proceed for cooking the vinegar with pepper and a small amount of sugar. Let the vinegar cool slightly. After, arrange the ingredients inside the transparent jar and pour the vinegar inside the jar with the ingredients. Cover, seal, and label the jar.

Table 3.1 Step-by-Step Procedure of Atsarang Lukban

Steps	Mass	Duration
Washing the ingredients 	33 pieces of pomelo, 2kilos of carrots, 2kilos of red bell pepper, and green bell pepper, 1 ½ kilos of ginger	20 minutes
Peeling 	33 pieces of pomelo, 2kilos of carrots, 2kilos of garlic, 1 ½ kilos of ginger	30 minutes
Slicing 	2kilos of carrots, 2 pieces 1 ½ kilos of ginger, 2 kilos of garlic, 2 kilos of red bell pepper, and green bell pepper	60 minutes
Cooking the vinegar 	7.5 liters of crab vinegar, sugar, ground black pepper Mix all ingredients	15 minutes
Packaging 	25 jars of Atcharang Lukban medium size and 50 jars of small size	20minutes

2. Labor and Machine Requirements

The company's owner will be the one who leads the preparation. Since three individuals are available, they have different positions to do the assigned task. Melissa assigned

as the one who peeled. Justine assigned as the one who slices while Kathlin do the cooking.

Table 3.2 Labor and Machine Requirements

Procedure	Labor	Tools and equipment
Peeling	1	Cutting board and knife
Slicing	1	Cutting board and knife
Cooking	1	Stove, pan, and ladle

The direct materials needed are pomelo the main ingredient of the product, ginger, garlic, carrot, red bell pepper, green bell pepper, black pepper, sugar, and vinegar. The quantity purchased will be in pieces and milliliters. The cost of each ingredient will be low but fresh ingredients come from the company's suppliers.

Table 3.3 Raw Materials

Ingredients	Quantity as purchased (per production)	Cost
Pomelo	33 pieces	Php 660.00
Carrot	2 kilos	160.00
Red bell pepper	2 kilos	360.00
Green bell pepper	2 kilos	360.00
Garlic	2 kilos	120.00
Ginger	1 1/2 kilos	120.00
Sugar	3 1/2 kilos	336.00
Ground Black pepper	1/4 kilo	10.00
Crab vinegar	7.5 liters	219.38
	Total	Php 2,345.38

Direct materials needed are the laborer and the packaging. The laborer consists of three individuals with a 50 pesos salary per individual, 150 pesos per day and 900 pesos per production. Every production company uses 75 pieces of Atsarang Lukban product jars with labels as packaging. It costs 5.87 per jar and a total of 440 pesos for 75 pieces of jars.

Table 3.4 Direct Materials

	Quantity	Amount	Total amount
Direct labor	3	150	900
Packaging	75	5.87	440

The Equipment for producing Atsarang Lukban is Gas Stove, since the company does not have a machine to use in the production of Atsarang Lukban, the cost of indirect materials and equipment will be reduced. The most expensive of the equipment is Gas Tank and Gas stove burner, which cost Php 1,525.00. It purchased in Xocio Supermarket and Gas tank station.

Table 3.5 Machine and Equipment

Machine and Equipment	Cost	Unit and Durability	Sources
Gas tank  -Flammable hydrocarbons used as fuel for cooking.	950	1 tank 2 months durability	Gas tank station
Gas stove burner  -Used an open flame to cook foods.	575	1 single Burner 3 years durability	Xocio Super market
Total: Php1,525.00			

Indirect Materials

The Indirect Materials needed for the preparation are cutting board, knife, pan, mixing bowls, measuring tools, and clean cloth. It purchased through Libmanan public market and Xocio supermarket. The durability of the items will depend on how the owners used them. The indirect materials are presented in Table 3.5. The total cost of indirect material is Php 1,241.00. Eleven items are enumerated in the table, which would be used in the production and operation of Atsarang Lukban.

Table: 3.6 Indirect Materials

Indirect Materials	Cost	Unit	Durability	Sources
Clean cloth  -Used for cleaning the tools and equipment and table.	99	1 set	3 Months	Xocio Supermarket
Cutting board  -Used to protect countertops and for different cutting methods.	99	2 pcs	3 years	Xocio Supermarket
Knife  -Used for cutting, chopping, dicing, slicing, etc.	80	1pc	2 years	Xocio Supermarket

Wooden Spoon  -It is used for stirring different kinds	65	1pc	3 years	Xocio Supermarket
Measuring cup and measuring spoon  -Provide the most accurate measuring in solid and	55	1 set	3 years	Xocio Supermarket
Mixing Bowl  -Used for mixing and preparing ingredients.	255	1 set	3 years	Xocio Supermarket
Pan  -Used for different kinds of cooking methods.	160	1pc	3 years	Xocio Supermarket
Plastic Container  -Used to store solid ingredients and the container have different levels.	198	17 pcs	2 years	Xocio Supermarket
Food Gloves  -It is used for safely handling food.	50	1 box	3 months	Xocio Supermarket

Hairnet  -It is used to keep hair from pulling into food and tools.	30	3pcs	1 years	Xocio Supermarket
Apron  -It is worn for hygienic purposes and to protect the cloth.	150	3pcs	1 years	Libmanan Public Market
Total: Php1,241.00				

Haus of Trio Utility Expenses per month including Rent worth 300 pesos, water worth 100 pesos, and electricity worth 100 pesos, a total of 500 pesos per month.

Table 3.7 The Utility Expenses Per Month

UTILITIES	PER MONTH
Rent	300
Water	100
Electricity	100
Total	Php500

C. Production Schedule

Haus of Trio set a production schedule for setting an arrangement for the next 10 months' flow of the operation of the business. The opening of the business is 9:00 am and the closing time is 5:00 pm. The owners will arrive at 7:30 am at the company. 7:40 am is time to clean the area. At 8:30 am the owners started to display the products. After that, the

business and owners will be readying their selves for the opening.

Table 3.8 Production Schedule

Time	Action	Responsible	Notes
7:30 am	The arrival of the owners		
7:40 am	Cleaning of the area	Owners	
8:30 am	Displaying of the product	Owners	
9:00 am	Opening	Owners	The general manager and financial manager and operation manager are assigned to purchase ingredients' The marketing manager will be assigned to the selling area.
5:00 pm	Closing	Owners	
5:30 pm	Meeting	Owners	

D. Factory Location

Haus of Trio leases space near Brent Gas, located at 28 Herrera Street, Zone, zone 5 barangay Puro-Batia municipality of Libmanan province of Camarines Sur. Puro-Batia is situated nearby Potot and Taban-Fundado. Approximately 1.1 km away from Governor Mariano E. Villafuerte Community College which is located at Barangay Potot. The company chooses this location not because it is the only space for rent near the school but because of the availability of water and

electricity sources, the owners don't need to spend money to install it. It is also less expensive for the company because the rent was at a low cost as the general manager currently lives here.

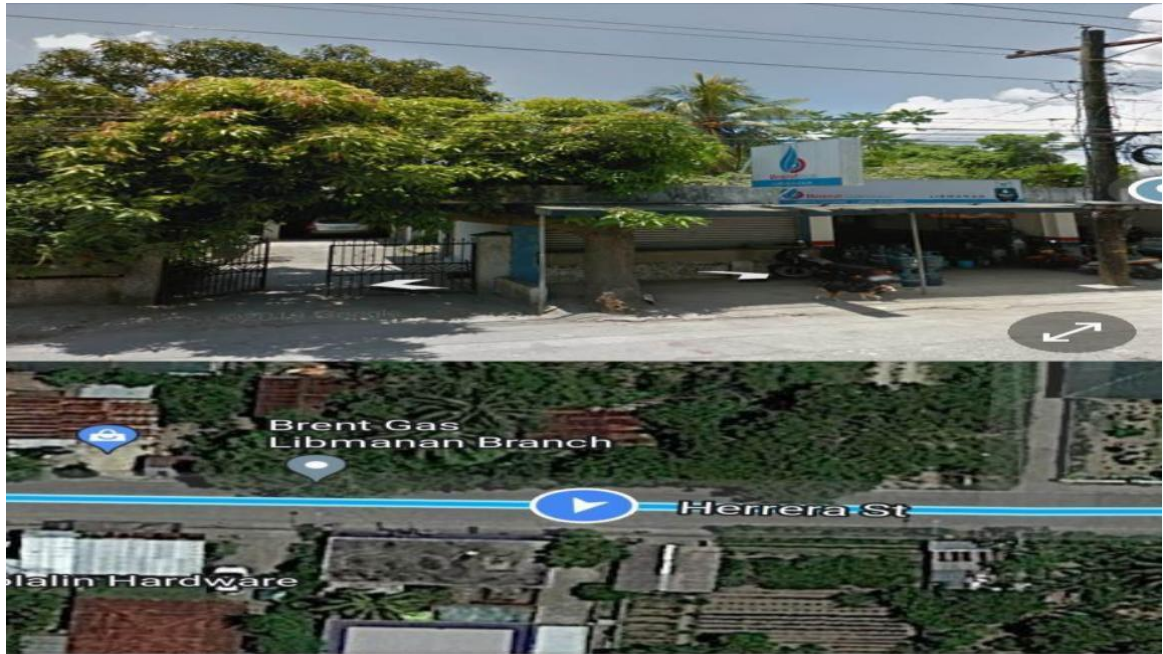


Figure 3.1 Factory Location

E. Plant Layout

Haus of Trio plant layout was arranged to maximize processes that are not only efficient but also effective towards overall organizational goals upon entering the facility. The company's business permits displayed on the left side. In front of it can be seen the only comfort room of the facility that can be used both by the customer-owner and employees. On the right side is the counter where the products are displayed on its storage racks can be seen. This is where the transaction takes place between the cashier and the customer. Next to the cashier area is the door that leads

into the office where the owners and employees meet to discuss the steps that have taken and will take. A computer set and printer are also located inside the office, which are used to print documents and product labels. From the office, there's a door, which is the way to the production area. Inside the production area, the ingredients to make the product and the tools and equipment that will use to make the products. There is also a sink where the ingredients washed; there are cabinets where the ingredients kept while the tools and equipment are in the bottom. On the side of the sink is the stove, where the ingredients for making Atsarang Lukban cooked. The packaging area is located on the side of the stove. This is where the product label placed after the Atsarang Lukban puts in the jar. The production area also has access to the counter so that it would be easy to transfer the finished product to its display area. There is also a small door in the middle of the packaging area and stove. The purpose of this door is to pass through the disposal of garbage so that, there is no need to go through the office and the counter area, can also be the entrance and exit of employees. Purchased ingredients would also pass through this door. Segregated trash is located at the back of the facility to avoid any problems caused by the garbage. Mix N' Trio Company owners also agreed to make the window large and transparent in front of the production area so that the customers can see what is inside. Through this, customers can assured that the product they are buying is clean.

backyard garden, the peels of the raw materials used in producing the Atsarang Lukban will donate to the owner, which can use as organic fertilizer. While non-biodegradable waste will place on the back of the facility while waiting for the garbage collector. Even the waste inside the toilet, the office, the rejected jar, and other waste aside from raw materials peel belong to non-biodegradable waste. In case any equipment is broken and no functional, it will sold to junk shop immediately, to prevent waste inside the facility.

G. Quality Control System

The production process in Haus of Trio consists of the transformation process the series of processes in an organized way:

Food Quality

- Food production follows written procedures
- Haus of Trio is trained to strictly follow all process
- Inspection of raw materials to ensure that no low-quality ingredients are damaged
- Carrying out checks on the process to ensure that the measure of ingredients and time of coking are correct.

Food Safety & Hygiene

- Haus of Trio follows all government regulations for food safety related to production and handling.
- Proper hygiene and cleanliness in the production including the personal protective equipment
- Have proper Sanitation

Equipment, Furniture, and Fixtures Maintenance

- Cooking equipment must be sanitized after and before using
- Gas tank and Gas Stove must check before and after using
- Furniture and Fixtures checked every Tuesday

Service Quality

- Finish Product must be tested first and checked before putting into a packaging jar
- Packaging must properly sealed.
- Payment request invoiced and payable via cash.
- Daily delivery available and additional delivery fee.
- Store front cleaned and maintained daily

Inventory

- Inventory every end of the month and record the product purchased to ensure sufficient stocking and avoid wastage due to negligence.
- All raw materials procured must be a record.

H. Production Cost

The company purchases raw materials for every production. Raw materials for every production Cost worth 2,345.38 pesos. Laborers are consist of three individuals. Since the everyday labor cost 50 pesos, their labor cost for every product is worth 900 pesos. The total production cost is amounting to 4,183.68 pesos including utility expenses worth Php.250.00, indirect materials worth Php.62.05, machine and equipment worth Php.76.25, packaging worth Php.440.00, and marketing expenses worth Php.50.00. In every production, the company produces 25 pieces of medium size with a cost of

Php.70.06 and 50 pieces of small size with a cost of Php.41.15. The prizes of the product are very affordable, the small size is worth just Php.89.00, while for just Php.109.00, the medium size of Atsarang Lukban is all yours.

Table 3.9 Production Cost

	Cost per production
Raw Materials	Php2,345.38
Labor Cost	900.00
Utility expense	250.00
Indirect Materials	62.05
Machine and equipment	76.25
Packaging	440.00
Marketing Expense	50.00
Total cost per production	Php4,183.68
Total volume per production	
Small	25
Medium	50
Cost per jar	
Small	41.15
Medium	70.06
Price per Jar	
Small	89.00
Medium	109.00

1. Production Cost Per Year

Haus of Trio production operates twice a month. For every production, the company produces 75 pieces for 4,183.68 monthly. The company produces 150 pieces for 8,367.36. While every year, the company's cost of production is 83,673.6 with 1,500 pieces of Atsarang Lukban product.

Table 3.10 Production Cost per Year

	Quantity	Total Production Cost
Per Production	75 pieces	Php4,183.68
Monthly	150 pieces	Php8,367.36
Annual	1500 pieces	Php83,673.6

2. Production Cost per Unit

Haus of Trio produces a total 1,500 pieces of Atsarang lukban yearly with a total cost of 83,673.6. It cost 772.27 per day and 55.78 per unit.

Table 3.11 Production Cost per Unit

Quantity	Production Cost per Year	Cost per day	Cost per unit
1,500 pieces	Php83,673.6	772.27	55.78

CHAPTER IV

ORGANIZATIONAL PLAN

A. Legal form of business

Haus of Trio is a type of partnership form of business. A legal form of business owned by three individuals who share management, liabilities, and profits. The business is composed of three individuals namely Melissa, Justine, and Kathlin. These owners have their roles in the business to efficiently and effectively manage and achieve the objectives of the business. By sharing their skills and resources, they will make it through difficulties, from gaining and sometimes losing profits, the company will always find a way to be successful entrepreneurs. The partnership is flexible and simple having more owners to run the business. Mutual support and motivation needed for the business to last longer.

Melissa Constantino is 26 years old and from Mambulo Viejo, Libmanan, Camarines Sur as the General Manager of the business because the manager can provide the overall leadership in the organization and have a task to see the daily business activities, improve overall business functions, train heads of departments, manage budgets, develop strategic plans, and credit policies, and also communicate business goals. The other owner is Justine Pelareja a 22-year-old from Uson, Libmanan, Camarines Sur as the Financial Manager, and the Operation Manager of the business responsible for the organization's financial health. She is responsible for financial reports, direct investment activities, and develop strategies and plans for long-term financial goals. The manager is conscious-minded when it comes to managing money. She gives more attention on what

needs more than going for her wants. She is assigned, as an Operation Manager who managed the production process of a product, scheduling and setting a plan for the day and after the production will be held. The position is also involving budgeting, assessing, and reviewing the process and procedures. The other owner is Kathlin Rodriguez a 20 years old woman living in Alianza, San Fernando, Camarines Sur the owner is assigned as the Marketing Manager and Human Resource Manager who is responsible for being highly focused, detail-oriented, and conscientious of meeting budget restraints and timelines. The position is assigned to Kathlin for the reason that she can entertain and has the self-confidence to communicate and socialize with people; she has a jolly attitude and a sense of humor that customers feel pleasant while talking to her. It is her advantage that she can socialize in front of people, while she was in senior high school she takes the subject entrepreneurship, that is why she has a background in business planning, she is one of the direct sellers of their company, and she is the endorser of their product, she did a promotional making commercial advertisement. Assigned as a human resource who is responsible for staffing a capable employee for the positions.

Signed by:

MELISSA C. CONSTANTINO

General Manager

JUSTINE A. PELAREJA

Financial Manager
Operation Manager

KATHLIN CLAIRE F. RODRIGUEZ

Marketing Manager
Human Resource Manager

B. Organizational structure

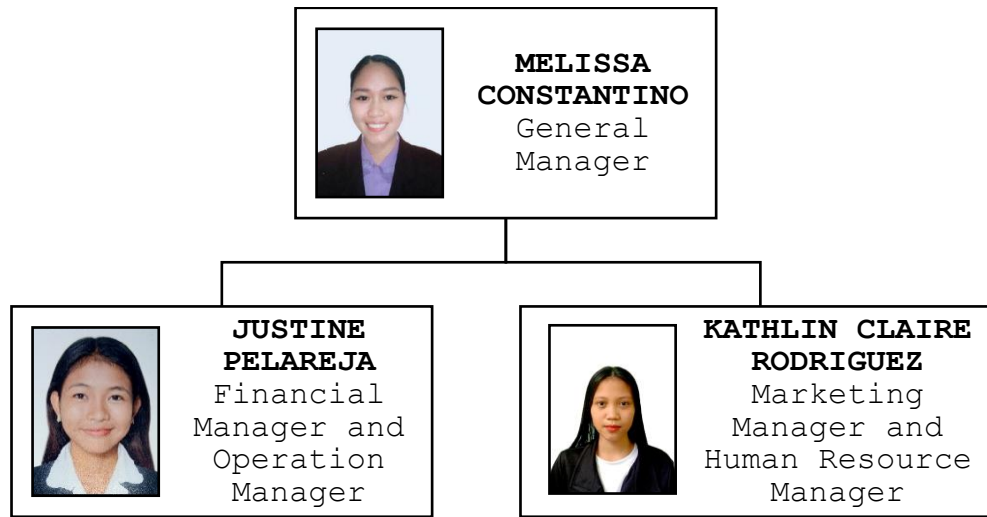


Figure 4.1 Organizational Structure of Haus of Trio

Haus of Trio's organizational structure defines jobs and qualifications to meet the company's goals and objectives. The company put Melissa C. Constantino as General Manager, Justine A. Pelareja as the Financial and Operation Manager, and Kathlin Claire Rodriguez as Marketing and Human Resource manager.

C. Qualifications of officers

Position: General Manager

Specific Job Description: The general manager should have experience in overseeing business operations as well as human resources, finance, and communications. The ideal candidate will be an expert communicator who has a strong ability to delegate responsibility and collaborate across a range of departments. Ultimately, the general manager should driven by a desire to lead the business to maximize productivity and efficiency.

Job Description**Responsibilities:**

- Oversee day-to-day operations.
- Maintain project timelines to ensure tasks accomplished effectively.
- Develop, implement, and maintain budgetary and resource allocation plans.
- Resolve internal staff conflicts efficiently and to the mutual benefit of all involved.

Job Qualifications

- Male or Female
- Must be 20 years and above
- Must be a graduate of Business Management or any related field.
- Experience in conducting performance evaluations.

Practical Skills Qualifications

- Excellent communication skills.
- Outstanding leadership skills.
- Strong decision-making ability.
- Ability to motivate and lead employees, and hold them accountable.

Position: Financial Manager

Specific Job Description: The financial manager are committed in securing long-term financial goals. The ideal candidate shares a commitment, carefully guide decision-making for investment planning, budgeting, asset purchases, and sales. The manager will work with like-minded professionals and continually focus on sharpening their knowledge and skills so that the company will remain at the top.

Job Description

Responsibilities:

- Execute accurate reporting that enables financial recommendations.
- Coordinate strategic financial planning for the company including expenses, and income.
- Focus on daily and month-end accounting to determine results.

Job Qualifications

- Male or Female
- Must be 20 years and above
- Must be a graduate of BS in Accountancy or any related field.
- Experience with financial planning.

Practical Skills Qualifications

- Knowledge of the securities, insurance, and mutual fund.
- Personal integrity and an ability to maintain the confidentiality of the company and client information.
- Excellent verbal and written communication and presentation skills.

Position: Operation Manager

Specific Job Description: The operation manager will be committed to helping maintain and grow the standard of the business. The company seeking an experienced operation manager to oversee daily activities. The ideal candidate will have a sharp business mind and proven success in managing multiple departments for maximum productivity. The manager

will be able to develop and maintain an environment of trust, and inclusion within the operations team.

Job Description

Responsibilities:

- Increase the efficiency of existing processes and procedures to enhance the company's internal capacity.
- Ensure that operational activities remain on time and within budget.
- Work closely with legal and safety departments to ensure that activities remain compliant.
- Oversee materials and inventory.

JOB QUALIFICATIONS

- Male or Female
- Must be 20 years and above
- Must be a graduate of any Business-related course.
- Ability to communicate in more than one language.

PRACTICAL SKILLS QUALIFICATIONS

- Strong skills in budget development and oversight.
- Excellent ability to delegate responsibilities while maintaining organizational control of branch operations and customer service.
- Proficiency in conflict management and business negotiation processes.

Position: Marketing Manager

Specific Job Description: A marketing manager promote businesses, products, or brands. They develop marketing and pricing strategies, generate new business leads, and oversee marketing department staff. An outstanding marketing manager will be someone whose expertise translates into increased brand awareness and profitability.

JOB DESCRIPTION

RESPONSIBILITIES:

- Evaluating and optimizing marketing and pricing strategies.
- Analyzing market trends and preparing forecasts.
- Generating new business leads.
- Increasing brand awareness and market share.
- Developing and managing the marketing department's budget.

JOB QUALIFICATIONS

- Male or female
- Must be 20 years above
- Ought to be graduated bachelor's degree in BSBA majoring in marketing, finance, or a related field.
- Extensive knowledge of marketing strategies, channels, and branding.
- Strong time management and organizational abilities.

PRACTICAL SKILLS AND QUALIFICATIONS

- Strong effective communicator.
- Highly developed, demonstrated teamwork skills.
- Ability to coordinate the efforts of a large team of diverse creative employees.
- Ability to lead in an environment of constant change.

Position: Human Resource Manager

Specific Job Description: The ideal candidate will have experience in HR or employee recruitment, with a thorough understanding of HR policies and procedures. The bulk of the role will involve employee orientation and compensation, and there is a great opportunity for developing and refining systems. A human resource manager who easily connects with

people and has a detail-oriented mindset for handling the dynamic nature of today's workforce.

JOB DESCRIPTION

RESPONSIBILITIES:

- Oversee and refine employee standards and procedures, using existing HR systems as well as improved or recommended processes.
- Assist with recruitment efforts, and prepare employees for their assignments by establishing and conducting orientation and training programs.
- Build strong relationships with external suppliers, fostering trust and promoting collaboration.
- Handle confidential matters with discretion.

JOB QUALIFICATIONS

- Male or Female
- Must be 20 years and above
- Ought to be graduated Bachelor's degree in human resources or related field.
- Experience working in HR.

PRACTICAL SKILLS AND QUALIFICATIONS

- Exceptional communication and interpersonal skills and an ethical mindset.
- Strong problem-solving and conflict-resolution skills.
- Excellent verbal and written communication skills.
- Ability to prioritize tasks and delegate them when appropriate.
- Ability to act with integrity, professionalism, and confidentiality.

D. Office Equipment

The Haus of Trio used the Office Furniture and Fixtures, which purchased through Xiphoto, Xhome Lifestyle, and Hong. The durability depends on how the owners used them. The Office Furniture and Fixtures were presented in Table 4.1. The total cost amounted to Php.3,510.00. A total of four items.

Table 4.1 Office Furniture and Fixture

Name	Image	Quantity	Cost	Total Cost	Source
Monoblock table -It is used as a surface working and to place things.		1 pc	1,200	1,200	Hong
Chair - Used for seated and providing comfort.		3 pcs	152	456	Xhome. lifestyle
Plastic Ceiling Fan -Used to reduce heat.		3 pcs	258	855	Hong
Filling cabinet -It is used to store some office stuff.		1 pc	999	999	Xi-photo
Total		PHP 3,510.00			

The Haus of Trio used the Office Equipment purchased through Oppo Store, Hyper-tech Computer, and Hong Mall. The durability of the items is it will depend on how the owners used them. The total cost amounted to Php.30,150.00. A total of four items. The Office Equipment is presented in Table 4.2.

Table 4.2 Office equipment

Name	Image	Quantity	Cost	Supplier
Laptop - One's personal computer that use to store information and data.		1 pc	30,000	Hypertech Computer
Calculator -It helps to calculate easily the answer.		1 pc	150	Hong
Total:		Php 30,150.00		

The Haus of Trio used the Office Supplies, which purchased through Master's Square. The durability of the items depended on how the owners used the items. The total cost amounted to Php.286.00. A total of five items. The Office Supplies are presented in Table 4.3.

Table 4.3 Office Supplies

Name	Cost And Quantity	Supplier
Ballpen - used for writing, and taking signature. 	21.00 3 pieces	Master's square
Record book -Used for taking notes and employee logbooks. 	45.00 1 piece	Master's square
Stapler -Used to fasten together two or more sheets of paper. 	30.00 1 piece	Master's square
Staple wire - It is used for combining sheets of paper. 	10.00 3 boxes	Master's square
Bond paper - Used for printing documents or other files. 	180.00 1 rim	Master's square
Total	Php 286.00	

E. Gantt chart of activities

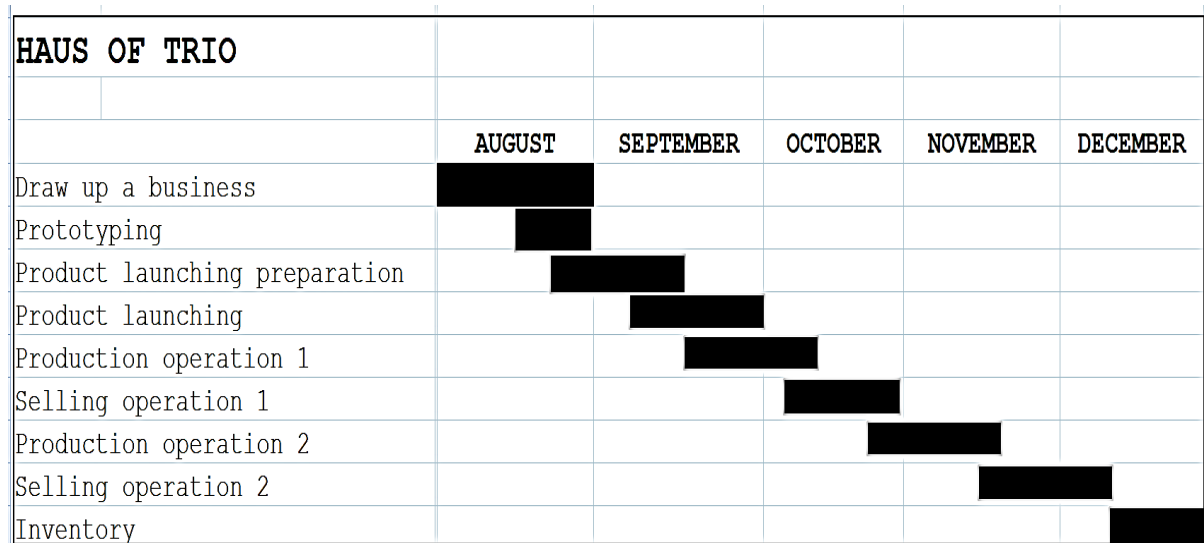


Figure 4.2 Haus of Trio Activities

Haus of Trio activities starts with drawing up a Business until it launches its products. The figure above shows the activities of the company monthly. The company's production operates every first and third week of the month. Every after production they sell the products produced and at the end of the month, they do inventory.

F. Administrative Expenses

In Marketing Expenses, the company will only use Internet Load to advertise, and design using a website platform amounting to Php.1,000.00 in 10 months. For the Fare Expenses, every purchased consumed fare amounting to PHP 40.00 back and forth in 20 times of production the total is PHP 800.00. For the Legal Requirements, the company fee for DTI estimated is PHP 350.00, the barangay permit is PHP 150.00 for an open account is 500, and the total amount is PHP 1,000.00. The table shows in table 4.6 the total administrative expense.

Table 4.4 Total Administrative Expenses

Administrative Expenses	
Selling and Marketing Expenses	1,000.00
Fare Expenses	800.00
Legal Requirements	1,000.00
Total:	PHP 2,800.00